Chapter

12

COST ESTIMATION

SMMTAJ

Learning Objectives

1. Students to know and learn about the basics of cost estimation of an Industry.
2. To know about the cost of raw material, machining charges, wages for the workers.

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12.1 Introduction

- Cost estimation can be defined as the estimation of expenditure for the entire manufacturing process of an object producing in a factory.
- Cost estimation can be classified by the following points.

1. Cost of raw materials
2. Machining charge
3. Wages, paid for the worker.
4. Cost for making accessories like jigs and fixtures.
5. Administrative expenditure
6. Profit.

12.2 COST OF RAW MATERIALS

The cost of raw materials includes the price of the material required, import tax, labour charges paid for loading and unloading and transportation charges.

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